Question 1: Solution

Ethical issue 1: Loan staff assignment

Kitchen has asked if an audit senior can be seconded to fulfil the role of a member of the finance team. Involvement in preparing records or schedules that support the year-end financial statements and subsequently auditing them would lead to a self-review threat. **(1 mark)**

The self-review threat arises when an auditor reviews work which they themselves have previously performed. As a result, there is a risk that the auditor would not be sufficiently objective **(1 mark)** in performing the audit and may fail to identify any shortcomings in their own work. **(1 mark)**

The request should be declined **(1 mark)** as the FRC Ethical Standard (ES) does not permit firms to enter into agreements with audit clients to provide employees to work for them for a temporary period (ie on a secondment) **(1 mark)**

Ethical issue 2: Close personal relationship

The audit partner and the finance director have known each other socially for many years and have been on holiday together, which may create a familiarity threat. **(1 mark)**. The close relationship may cause the auditor to become too familiar and too trusting of the finance director, resulting in less professional scepticism **(1 mark)** being exercised and the possibility of material misstatements going undetected. **(1 mark)**

Due to the senior positions held by both parties, this is a significant risk that independence may be perceived to be threatened. The personal relationship should be reviewed in line with the firm's quality management policies, discussed with the firm's ethics partner **(1 mark)** and consideration should be given to rotating the partner off this engagement. **(1 mark)**

Ethical issue 3: Overdue fee

20% of the previous year's audit fee remains outstanding, which can lead to a self-interest threat. **(1 mark)**

The audit firm may feel pressured to agree to certain accounting adjustments in order to have the previous and current year fee paid. **(1 mark)** The outstanding fee could also be perceived to be a loan to the client. **(1 mark)**

The firm's ethics partner should be notified of the overdue fee.**(1 mark)** As the value (20% of annual fee) is not trivial, it may be necessary for the audit firm to resign. If the firm does not resign, a review of the audit work by a partner who is not involved in the engagement should be conducted. **(1 mark)**

Ethical issue 4: Family relationship

The audit engagement partner's son has just accepted a job offer from Kitchen as a sales manager, a role that would entitle him to shares in Kitchen as part of his remuneration package. While it is unlikely that, as a sales manager, the son would be in a position to influence the financial statements, the remuneration package associated with the role may create a self-interest threat. **(1 mark)**

The engagement partner's son will derive a personal benefit **(1 mark)** due to their entitlement to shares, which may motivate the partner to behave in a manner aimed at protecting the benefit. **(1 mark)** As the son is a close family member of the partner, the financial interest threat is so significant that no safeguard is possible. **(1 mark)** The partner should be removed from the audit engagement. **(1 mark)**

Ethical issue 5: Contingent fee

The suggestion that the external audit fee should be renegotiated, with at least 35% of the fee being based on profit after income taxes, gives rise to a self-interest threat. **(1 mark)**

Fees based on the outcome or results of work performed are known as contingent fees and are prohibited by the ES. **(1 mark)** The fee should reflect the time spent and the skills and experience of the audit team. **(1 mark)**

The firm cannot accept contingent fees **(1 mark)**. It should be communicated to Kitchen that the external audit fee needs to be based on the time and level of work performed. **(1 mark)**

Ethical issue 6: Meeting with potential investors

The directors are planning to list Kitchen on a stock exchange and have asked if the engagement partner can attend the meetings with potential investors, which represents an advocacy threat. **(1 mark)**

Attending meetings with potential investors may be perceived as promoting investment in Kitchen **(1 mark)** and this threatens objectivity. **(1 mark)**

The engagement partner should decline this request from Kitchen **(1 mark)** as it represents too great a threat to independence. **(1 mark)**

Question 2: Solution

We will review the ethical issues related to each of the three clients. These are:

a) Busco plc

If an audit firm provides a valuation service for an item which will be included in the financial statements, a self-review threat arises. **(1 mark)** The self-review threat exists because the audit firm will be auditing a balance on which they have themselves placed a valuation. **(1 mark)** The service may also involve subjective judgements, which should be made by management. **(1 mark)**

There is also a management threat as the engagement is likely to involve making decisions and subjective judgement and the firm's views may be too closely aligned with management's. **(1 mark)** Provision of valuation services, where the amount is material to the financial statements, to a listed entity is prohibited by the Ethical Standard. **(1 mark)** This request will need to be declined. **(1 mark)**

b) Cornwall Beauty Limited

The offer of the gift if the audit is completed two weeks before the agreed deadline may create several threats to objectivity and independence, the most notable of which may be a self-interest threat. **(1 mark)**

The audit team may comply with the finance director's wishes, in order to benefit from the free goods offered. **(1 mark)** The audit quality may be compromised, and errors overlooked in order to meet the deadline. **(1 mark)** The offer does not appear to be trivial or inconsequential, and may represent a bribe which raises questions over management's integrity. **(1 mark)** The offer should be declined, as no safeguards can be put in place to reduce the threat to an appropriate level. mi **(1 mark)**

c) Hops Max plc

Over dependence on an audit client for fee income leads to a self-interest threat for the auditor. **(1 mark)** The self-interest threat arises as the firm will have a financial interest in the client due to its dependency on the client and its concern about the impact on its business if it were to lose the client. **(1 mark)** The 20X5 fee income is 7.1% of the firm's total annual fee income. **(1 mark)**

This is approaching, but does not breach, the 10% threshold set by the Ethical Standard for listed clients. **(1 mark)** Fees approaching the 10% limit should be disclosed to the firm's ethics partner, and a potential future safeguard could be reducing the amount of non-audit work. **(2 marks)**

Note: Marks will also be awarded for threats related to permitted additional services ie management threat and self-review threat with explanation and evaluation. Safeguards include separate teams for the performance of the audit and non-audit engagements and ensuring that the firm documents that there is informed management and that it does not make management decisions when performing non-audit engagements.